

Texas WIC Health and Human Services Commission

Effective June 1, 2026

Policy No. AC:15.0

Allowable Costs – Non-Professional Contract Services

Purpose

To ensure non-professional contract services receive approval from the State Agency (SA).

Authority

[2 CFR 200.439](#); [Texas Grant Management Standards](#)

Policy

Local agencies (LAs) must request reimbursement for the cost of non-professional contract services when the expense exceeds \$10,000.

Note: Non-Professional contract services related to clinic renovations or repairs should follow policies [AC:07.0 – Property Management](#) and [AC:18.0 – Allowable Costs – Facility Renovation](#).

Definitions

Non-Professional Contract Services - services rendered by individuals or organizations not a part of the grantee agency (LA). These include, but are not limited to, such services as vehicle wraps, janitorial, exterminating, security, lab work, laundry, maintenance agreements, outside printing, translators, leasing of equipment, etc.

Procedures

- I. The LA must obtain three written competitive bids for non-professional services exceeding \$10,000. The total contract amount must be considered when determining dollar limits.
 - A. Note: Competitive bids are not required if the parent agency requires the LA to use a specific vendor based on a previously completed competitive procurement process.

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- II. Any selected bid for a non-professional contract service exceeding \$10,000 requires SA approval. The written request to the SA must include:
 - A. Type of service;
 - B. Statement that documentation of three bids is available and the selection was made based on best value;
 - C. Total amount of low bid received;
 - D. Contract period starting and end dates;
 - E. Allocation method and percentage to be charged if the costs are prorated to WIC;
 - F. Brief explanation of services and justification of need; and
 - G. An assurance that the procurement process complies with [Texas Grant Management Standards](#)) and WIC policies.
- III. Approval is required for each contract exceeding a total cost of \$10,000. Material increases in contract rates of 20% or more¹ require new bids at the renewal of the contract period.
- IV. The SA must approve or disapprove the request in writing.
- V. Documentation must support the allocation among Administration, Nutrition Education, and Breastfeeding.
- VI. Finance or interest charges associated with equipment leases are not allowable costs.
- VII. Non-professional contract services \$10,000 or less must be supported by documentation such as vendor invoices, proof of payment, and contracts (if applicable).

¹ Materiality threshold established based on USDA guidance outlined in FNS Handbook 901